

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

B & G FUTURES INC., *REVOCATION OF OCEAN
TRANSPORTATION INTERMEDIARY LICENSE NO. 026512NF*

DOCKET NO. 22-25

Served: January 19, 2023

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge.*

INITIAL DECISION REVOKING OCEAN TRANSPORTATION LICENSE¹

I. INTRODUCTION

A. Summary and Background

In this proceeding, the Bureau of Certification and Licensing (“BCL”) and the Bureau of Enforcement, Investigations, and Compliance (“BEIC”) at the Federal Maritime Commission (“FMC” or “Commission”) contend that Respondent B & G Futures Inc. (“B & G”) should have its ocean transportation intermediary (“OTI”) license revoked. B & G, representing itself, asserts that it has not violated the Commission’s regulations, at most there was an honest mistake, and its license should be not be revoked.

Respondent B & G is an Ohio Corporation, licensed by the Commission as an ocean transportation intermediary on October 3, 2017. In the Form FMC-18 submitted by B & G when it applied for an OTI license (“OTI License Application”), B & G listed Robert Waalkes as its secretary and qualifying individual (“QI”), and the Commission approved Mr. Waalkes as its QI. Further, on January 2, 2020, when B & G submitted a Form FMC-18 application to renew its OTI license (“OTI License Renewal Application”), it represented in the application that Mr. Waalkes was still its secretary and QI.

As explained more fully below, BCL alleges that it contacted Mr. Waalkes in October 2021, to verify the information provided by B & G, and Mr. Waalkes stated that he had never worked for B & G and had no knowledge of the company. In addition, BCL asserts that evidence obtained while processing the Form FMC-18 application B & G submitted on November 17, 2021, to replace its QI (“QI Replacement Application”), suggested that B & G had been operating without a QI since June 2017, contrary to the Commission’s regulations.

¹ This initial decision will become final within 22 days of service of this decision in the absence of exceptions filed by either party or review by the Commission. 46 C.F.R. § 502.708(c).

As a result, BCL notified B & G on August 24, 2022, that it intended to revoke B & G's OTI license because it had determined that B & G had violated 46 C.F.R. § 515.16(a)(1) of the Commission's regulations by failing to report changes in material fact to the Commission within 30 days, as required; 46 C.F.R. § 515.16(a)(2), by failing to respond to a lawful inquiry by the Commission; and 46 C.F.R. § 515.16(a)(3), by making a materially false or misleading statement to the Commission in connection with an application for a license or an amendment to an existing license. In addition, BCL stated in the letter that B & G's application to replace its QI would be denied because BCL had determined that B & G's owner and president, Mr. Steven DiPietro, did not possess the necessary character to render OTI services because, according to BCL, Mr. DiPietro had made a materially false statement to BCL with regard to BCL's inquiry about Mr. Waalkes' employment status.

B & G requested a hearing in connection with the proposed revocation, and the Secretary of the Commission assigned this proceeding to the Office of Administrative Law Judges for adjudication. All required submissions have been received and the record is now ready for a decision. As discussed below in greater detail, the evidence supports a finding that B & G's OTI license should be revoked and its application for replacement QI denied.

B. Procedural History

On September 16, 2022, the Secretary issued a Notice of Hearing Request and Assignment, stating that on August 24, 2022, BCL had notified B & G by letter that the Commission intended to revoke its OTI license, and that on September 9, 2022, B & G had requested a hearing on the proposed revocation pursuant to the Commission's Rules at 46 C.F.R. § 515.17 and 46 C.F.R. Part 502, at Subpart X of the Commission's Rules of Practice and Procedure. In addition, the Secretary assigned this proceeding to the Office of Administrative Law Judges for adjudication, pursuant to Rule 702(a) at Subpart X. 46 C.F.R. § 502.702(a).

On September 22, 2022, a Notice and Initial Order ("Notice") was issued pursuant to Rule 702(b), notifying BEIC of B & G's hearing request and instructing BEIC to file a copy of the notice given to B & G and BCL's materials supporting the notice, by October 24, 2022, as well as serve the same documents on B & G pursuant to 46 C.F.R. § 502.702(b). The notice also stated that "BEIC may file a brief with legal arguments, proposed findings of fact, or additional information, including requests for confidential treatment." Notice at 1.

On October 24, 2022, BEIC filed the Notice of Revocation issued to B & G by BCL, and an appendix of materials supporting the Notice ("BEIC Response"). On November 23, 2022, B & G filed a response to BEIC's submissions ("B & G Response") contesting the allegations and providing an affidavit from Mr. Waalkes. On November 28, 2022, a Notice of Right to Respond was issued, in accordance with the requirements under 46 C.F.R. § 502.703, advising BEIC of its right under 46 C.F.R. § 502.704 to file a reply to B & G's response. On December 14, 2022, BEIC submitted a reply to B & G's response ("BEIC Reply").

Pursuant to Subpart X, Rule 708, the initial decision is due within 40 days of BEIC's reply, or by January 23, 2023. 46 C.F.R. § 502.708(a). This initial decision is therefore timely.

C. Argument of the Parties

1. B & G's Arguments

B & G submitted arguments on the proposed revocation and exhibits, including an affidavit by Mr. Waalkes (“Waalkes Aff.”). B & G avers that BCL’s statement that it filed an application on November 17, 2021, to replace its QI from Mr. Waalkes to Mr. DiPietro is false, and that rather, its tariff publisher Distribution Publications, Inc. (“DPI”), submitted an application to BCL on November 28, 2022, to replace B & G’s QI from Mr. Waalkes to Lorie Obrzut, of which BCL staff were aware. B & G Response at 1 (citing Exs. A & B).

In addition, B & G asserts:

B & G Futures Inc. and Mr. Steven DiPietro are not in violation of 46 CFR § 515.16(a)(3), particularly regarding the employment of Robert Waalkes (Exhibit C). Mr. Waalkes was employed on a commission basis, whereby, should Mr. Waalkes bring revenue generating business opportunity, then Mr. Waalkes would be financially compensated on a deal-by-deal basis. During employment, Robert Waalkes did not generate any business and as such did not receive monetary compensation.

B & G Response at 1 (citing Ex. C).

B & G states that Mr. Waalkes sent an email to BCL staff on August 26, 2022, “confirming [employment] and knowledge of B & G Futures Inc” however, due “to computer issues a copy was not available” and thus “Mr. Waalkes has signed an affidavit . . . reconfirming employment and that due to health issues Mr. Waalkes was not of sound mind and clarity when communicating with BCL staff.” B & G Response at 1 (citing Exs. D & E).

In his affidavit, Mr. Waalkes states:

1. My name is Robert Waalkes. I served as Secretary of B&G Futures, Inc. (“B&G”) from December 1, 2016, October 25, 2020.
2. During a portion of that period, I was identified as the Qualifying Individual (“QI”) for purposes of B&G’s ocean transportation intermediary license with the Federal Maritime Commission.
3. In November of 2021, I mistakenly informed representatives of the Federal Maritime Commission that I had never heard of B&G.
4. I have a medical condition, which, when untreated (as it was in November of 2021), can impair my ability to recall past events accurately. When my condition is being properly treated (as it is at present), I have no such impairment.

B & G Response, Ex. F.

Responding to the claim that it violated 46 C.F.R. § 515.16(a)(2), B & G states that it was “under the notion, when hiring the services of DPI that ‘ALL’ matters related to the Federal Maritime Commission were monitored and addressed by them. As such B & G Futures did not communicate directly with BCL staff under the assumption that DPI was addressing the matters.” B & G Response at 1 (citing Ex. G). B & G avers that its failure to follow up with BCL directly “was an honest and sincere mistake as the assumption was DPI would handle all matters.” B & G Response at 1.

2. BEIC’s Arguments

BEIC submitted proposed findings of fact, legal arguments, and an appendix of exhibits as part of its reply to B & G’s response. BEIC contends that B & G and its president and part owner, Mr. DiPietro, made materially false and misleading statements to BCL; B & G failed to respond to BCL’s lawful inquiries; and B & G and Mr. DiPietro failed to notify the Commission of changes in material fact, in violation of the Commission’s regulations.

BEIC notes that section 515.16(a)(3) of the Commission’s regulations provides that an OTI’s license may be revoked for making a materially false or misleading statement to the Commission in connection with an application or amendment of a license. BEIC argues that in its application to renew its OTI license, B & G stated that Mr. Waalkes was still employed by B & G while in actuality he was not, and thus by failing to disclose the fact that Mr. Waalkes was no longer its employee, B & G made a materially false and misleading statement to BCL, in violation of section 515.63(a)(3). BEIC Reply at 8-9. BEIC contends that B & G’s arguments that Waalkes was employed on a commission basis, that he did not generate any business and thus did not receive monetary compensation, does not “specifically refute” that it made a materially false or misleading statement to the Commission when it failed to disclose the fact that Waalkes was not employed by B & G at the time B & G renewed its license. BEIC Reply at 9.

BEIC argues that evidence submitted by B & G neither demonstrates that Mr. Waalkes was employed by B & G at the time it applied for an OTI license or when it renewed its license, nor provides any information regarding when Mr. Waalkes started or terminated his affiliation with B & G. BEIC contends that a commission-based payment arrangement with Mr. Waalkes does not make him a B & G employee because, according to BEIC, while a commission-based payment structure can demonstrate an independent contractor relationship, it does not demonstrate employment. BEIC Reply at 9-11(citing *Lancaster Symphony Orchestra v. NLRB*, 822 F.3d 563, 568 (D.C. Cir. 2016)). As for Mr. Waalkes’ affidavit, BEIC argues that it does not comply with the Commission’s requirements at 46 C.F.R. 502.6(c) for verification of documents submitted to show proof of a matter and thus should be disregarded. BOE further notes that Mr. Waalkes states in the affidavit that he was a QI for a “portion” of the period at issue, meaning that there was a time in the period when B & G did not have a QI. BOE notes, in addition, that while Mr. Waalkes states that he has a medical condition that impaired his ability to recall past events accurately, “Waalkes does not elaborate on what medical condition would cause him to confirm on two separate occasions that he had not worked for B & G before and then sign an affidavit saying that he had,” and that Mr. Waalkes never explains the nature of his employment with B & G. BEIC Reply at 11-12.

Further, BEIC argues that B & G's failure to respond to BCL's inquiry regarding Mr. Waalkes' employment start and end dates is grounds to revoke B & G's OTI license under section 515.16(a)(2), which provides that a license may be revoked for failure to respond to any lawful order or inquiry by the Commission. BEIC Reply at 13. BEIC argues that B & G's explanation that it believed all matters related to the Commission were monitored and addressed by DPI is not a defense, because, according to BEIC, "B & G cannot claim ignorance when it purposefully ignored BCL's lawful inquiry regarding Waalkes' employment after having responded to BCL days prior." BEIC Reply at 13. BEIC asserts that this "illustrates B & G's inaction, not its attempts to respond to BCL's inquiry." BEIC Reply at 13-14.

In addition, BEIC argues that by failing to notify BCL of its changes in QI, a material fact, B & G violated section 515.16(a)(1), which provides that a license may be revoked for violation of any provision of any Commission order or regulation related to carrying on the business of an ocean transportation intermediary. BEIC Reply at 14-15. BEIC notes that the Commission's regulations require licensees to notify the Commission of any changes in material fact, within 30 days, and that changes in the identity or status of the designated QI require prior approval of the Commission.² BEIC Reply at 15. BEIC asserts that moreover, B & G's failure to inform BCL of the changes in QI is a violation of 46 C.F.R. § 515.20(a)(3), which requires that any changes in the identity or status of the designated QI be approved by the Commission prior to taking effect. BEIC Reply at 15. BEIC argues that the above reasons provide justification to revoke B & G's OTI license.

II. LEGAL AND FACTUAL FINDINGS

A. Controlling Legal Authority

An applicant seeking an OTI license must demonstrate through its qualifying individual that it has the necessary experience by showing that "its qualifying individual has a minimum of three years' experience in ocean transportation intermediary activities in the United States, and the necessary character to render ocean transportation intermediary services." 46 C.F.R. § 515.11(a)(1). If the applicant is a corporation, the qualifying individual for the applicant must be one of the applicant's active corporate officers. 46 C.F.R. § 515.11(b). Licenses must be issued for an initial period of not less than one year and not greater than four years, and thereafter renewed for sequential three-year periods upon successful completion of the renewal process specified under the Commission's rules. 46 C.F.R. § 515.14(c). "Though the [Commission's] license renewal process is not intended to result in a re-evaluation of a licensee's character, the Commission may review a licensee's character at any time, including at the time of renewal, based upon information received from the licensee or other sources." 46 C.F.R. § 515.14(d)(3). A change in the identity or status of the designated QI requires prior approval of the Commission, through a Form FMC-18. 46 C.F.R. § 515.20(a)(5). "When a partnership, LLC,

² BEIC also states that B & G failed to notify BCL of three legal proceedings against it, including one bankruptcy proceeding, as required under 46 C.F.R. § 515.20(e), and argues that this an additional basis to revoke B & G's OTI license. BEIC Reply at 15. Because BCL's notification to B & G regarding its intent to revoke B & G's license and the supporting materials provided to B & G did not include these allegations and thus B & G did not have an opportunity to respond to the new allegations, this argument will not be considered.

or corporation has been licensed on the basis of the qualifications of one or more of the partners, members, managers or officers thereof, and the QI no longer serves as a full-time employee with the OTI or is no longer responsible for the licensee's OTI activities, the licensee shall report such change to the Commission within thirty (30) days." 46 C.F.R. § 515.20(c). "Other changes of material fact of a licensee shall be reported within thirty (30) days of such changes, in writing by mail or email" to the Director of BCL. 46 C.F.R. § 515.20(e).

The Shipping Act grants authority to revoke an OTI's license under certain conditions:

The Federal Maritime Commission, after notice and opportunity for a hearing, shall suspend or revoke an ocean transportation intermediary's license if the Commission finds that the ocean transportation intermediary –

- (1) is not qualified to provide intermediary services; or
- (2) willfully failed to comply with a provision of this part or with an order or regulation of the Commission.

46 U.S.C. § 40903(a).

The Commission's regulations also address when a license may be revoked or suspended, stating in pertinent part:

A license may be revoked or suspended for any of the following reasons:

- (1) Violation of any provision of the Act, or any other statute or Commission order or regulation related to carrying on the business of an ocean transportation intermediary;
- (2) Failure to respond to any lawful order or inquiry by the Commission;
- (3) Making a materially false or misleading statement to the Commission in connection with an application for a license or an amendment to an existing license;
- (4) A Commission determination that the licensee is not qualified to render intermediary services; or
- (5) Failure to honor the licensee's financial obligations to the Commission.

46 C.F.R. § 515.16(a).

Rule 502.6's provisions regarding verification of documents state, in pertinent part:

- (b) If a party is not represented by a person admitted or qualified to practice before the Commission, each pleading, document or other paper of such party filed with the Commission shall be signed and verified under oath by the party or by a duly authorized officer or agent of the party, whose address and title shall be stated.

(c) Wherever, under any rules of this part, any matter is required or permitted to be supported, evidenced, established, or proved by the sworn declaration, verification, certificate, statement, oath, or affidavit, in writing of the person making the same (other than a deposition under § 502.143 or § 502.144), such matter may, with like force and effect, be supported, evidenced, established, or proved by the unsworn declaration, certificate, verification, or statement, in writing of such person which is subscribed by such person, as true under penalty of perjury, in substantially the following form: . . .

(2) If executed within the United States, its territories, possessions, or commonwealth: “I declare (or certify, verify, or state) under penalty of perjury that the foregoing is true and correct.”

46 C.F.R. § 502.6.

B. Burden of Proof

Under the Administrative Procedure Act (“APA”), an Administrative Law Judge may not issue an order “except on consideration of the whole record or those parts thereof cited by a party and supported by and in accordance with the reliable, probative, and substantial evidence.” 5 U.S.C. § 556(d); *see also Steadman v. SEC*, 450 U.S. 91, 102 (1981). This decision is based on the briefs, exhibits, proposed findings of fact and conclusions of law, and replies thereto, filed by the parties.

In addition, this initial decision addresses only material issues of fact and law. BEIC submitted proposed findings of fact in its reply brief. Proposed findings of fact not included in this decision were rejected, either because they were not supported by the evidence or because they were not dispositive or material to the determination of the allegations of the complaint or the defenses thereto. Administrative adjudicators are “not required to make subordinate findings on every collateral contention advanced, but only upon those issues of fact, law, or discretion which are ‘material.’” *Minneapolis & St. Louis R.R. Co. v. United States*, 361 U.S. 173, 193-94 (1959). To the extent individual findings of fact may be deemed conclusions of law, they shall also be considered conclusions of law. Similarly, to the extent individual conclusions of law may be deemed findings of fact, they shall also be considered findings of fact.

C. Findings of Fact (“FF”)

1. B & G was incorporated in Ohio on May 5, 2016. BEIC Ex. 2, at BEIC8.
2. Steven P. DiPietro was listed as 50% part-owner of B & G and its president and treasurer on B & G’s OTI License Application Form. BEIC Ex. 2, at BEIC14, BEIC17, and BEIC Ex. 5 at BEIC37.
3. Ami Vyas was listed as 50% part-owner and vice-president of B & G on its OTI License Application Form. BEIC Ex. 2, at BEIC14, and BEIC Ex. 5 at BEIC37.
4. B & G applied for an OTI license on July 26, 2017. BEIC Ex. 2, at BEIC17.

5. Robert Waalkes was listed as B & G's secretary and QI on B & G's OTI License Application Form. BEIC Ex. 2, at BEIC10 and BEIC14.
6. B & G's OTI License Application Form indicates that Robert Waalkes was self-employed at U.S. Pack Inc from September 2006 to July 2017. BEIC Ex. 2, at BEIC11.
7. On October 3, 2017, Mr. Waalkes was approved as the QI for B & G. BEIC Ex. 2, at BEIC14; Verified Statement of Aline Hull ("Hull V.S.") ¶ 4.
8. B & G was approved for an OTI license and has been licensed to operate as an OTI since October 2017, OTI License No. 026512NF. Hull V.S. ¶ 4; BEIC4; BEIC Ex. 5, at BEIC31.
9. On January 2, 2020, Mr. DiPietro submitted a Form FMC-18 to renew B & G's license. Hull V.S. ¶ 6.
10. B & G's OTI License Renewal Form repeated, without any changes, all information previously submitted by B & G in its application for an OTI license, including the statement that Mr. Waalkes was B & G's QI and secretary. BEIC4; Hull V.S. ¶ 6.
11. Mr. DiPietro certified that all information provided in B & G's OTI License Renewal Form was true, correct, and complete to the best of his knowledge and belief. BEIC Ex. 3, at BEIC21; Hull V.S. ¶ 5.
12. On October 4, 2021, BCL contacted B & G by email, stating that BCL had received notice that B & G's bond would be cancelled effective October 9, 2021, and advising B & G to contact its surety representative to send a rescission of the bond cancellation or a replacement bond if B & G believed the notice of cancellation was an error. BEIC Ex. 4, at BEIC28.
13. On October 4, 2021, B & G responded to BCL's email, attaching proof that its bond had not been canceled, and stating in pertinent part, "[s]hould you have any additional questions; please [feel] free to contact me." BEIC Ex. 4, at BEIC27.
14. On October 8, 2021, BCL contacted Mr. DiPietro by email, stating: "Mr. Dipietro, Please confirm that Mr. Robert Waalkes is a full-time employee and officer of B & G Futures Inc." BEIC Ex. 4, at BEIC27.
15. On October 12, 2021, Mr. DiPietro responded, stating in pertinent part: "We apologize for not answering you sooner. We were under the assumption DPI updated our QI. We will have this updated immediately." BEIC Ex. 4, at BEIC26.
16. On October 12, 2021, BCL again contacted Mr. DiPietro, stating in pertinent part: "Please advise the start and end dates of Mr. Waalkes employment with B & G Futures. In the meantime, please have DPI submit an application proposing a replacement QI as soon as possible, and in no case later than 30 days from the date of this message." BEIC Ex. 4, at BEIC26.

17. On November 15, 2021, BCL again contacted Mr. DiPietro, stating in pertinent part:

On October 12 the Federal Maritime Commission . . . requested that you provide the start and end dates of Mr. Waalkes employment with B & G Futures. To date you have not responded. Additionally, you indicated your tariff publisher, Distribution Publications Inc. (DPI), would submit an application proposing a replacement Qualifying Individual (QI) – however this has not occurred. B & G Futures Inc. is currently out-of-compliance with Commission regulations If the application proposing the replacement QI and the dates of Mr. Waalkes employment are not received by Thursday, November 18, 2021 the Bureau of Certification and Licensing will formally notify you of our intent to revoke the license, at which time you will have the opportunity to request a hearing with the Commission or to voluntarily surrender the license.

BEIC Ex. 4, at BEIC25.

18. In addition, BCL contacted Mr. DiPietro by phone. According to the BCL staff who spoke to Mr. DiPietro, “Mr. DiPietro was insistent that DPI had been provided all the information needed to answer our questions and to complete the application. I told him we have not received that information. He was going to call DPI.” BEIC Ex. 4, at BEIC24.
19. On November 16, 2021, B & G submitted an application to replace its QI from Mr. Waalkes to Lorie Obrzut. BEIC Ex. 4, at BEIC24; BEIC Ex. 5, at BEIC31, BEIC33 and BEIC48.
20. B & G indicated in its QI Replacement Application that Lorie Obrzut was its secretary and had been employed with B & G since July 2020. BEIC Ex. 5, at BEIC33.
21. B & G’s QI Replacement Application was submitted by Steve DiPietro, who certified in the application “under penalties of perjury,” that “I have examined this application and to the best of knowledge and belief, it is true, correct and complete.” BEIC Ex. 5, at BEIC48.
22. On November 17, 2021, BCL spoke to Mr. Waalkes, who “indicated he never worked for, nor heard of, B & G Futures.” BEIC Ex. 4, at BEIC24.
23. On November 17, 2021, Mr. Waalkes sent an email to BCL, stating in pertinent part: “I have not been employed by, nor am I familiar with B & G Futures.” BEIC Ex. 6, at BEIC50.
24. On August 24, 2022, BCL sent a Notice of Intent to Revoke to Mr. DiPietro, advising him of BCL’s intent to revoke B & G’s OTI License No. 026512NF. BEIC Ex. 1 at BEIC4.

25. On August 26, 2022, Aline Hull, Director of Office of OTIs at BCL received an email from Mr. Waalkes regarding the Notice of Intent to Revoke B & G Futures' license which stated:

I was contacted in November of 2021 and asked if I had any recollection of working with B&G Futures. At the time I stated that I did not. I sincerely apologize for the confusion, but I did indeed execute an agreement in 2017 with B&G Futures as a consultant. . . .

I was introduced to B&G Futures by a close friend and business associate. . . . At that time I was CEO of US Pack, Inc [of] Leominster MA and our organization was primarily in the chemical manufacturing and export business. It was believed that my export experience would be a benefit to his new venture. However, I did not do any work with B&G after this agreement was executed and I ended up moving into another industry.

BEIC Reply Attachment 1 at BEIC67-68; Hull verified statement ("Hull V.S.") ¶¶ 1, 15, FF 25.

26. In an unsworn affidavit by Mr. Waalkes ("Waalkes Aff."), submitted into the record by B & G, Mr. Waalkes states that he served as secretary of B & G from December 1, 2016, to October 25, 2020, and was identified as QI for B & G "[d]uring a portion of that period," but that in "November of 2021, [he] mistakenly informed representatives of the Federal Maritime Commission that [he] had never heard of B&G" and that "[he has] a medical condition which, when untreated (as it was in November of 2021), can impair [his] ability to recall past events accurately. When [his] condition is being properly treated (as it is at present), [he has] no such impairment." Waalkes Aff., B & G Response Ex. F.
27. BCL concluded that after "numerous correspondence, lack of requested information from B & G Futures, and analyzed BCL records on file, evidence indicated that [B & G] had a character issue of misrepresentation." Verified Statement of Cindy Hennigan ("Hennigan V.S.") ¶ 6.

III. DISCUSSION

A. The Evidence Supports a Finding that B & G's OTI License Should be Revoked

Pursuant to section 40903(a) of the Shipping Act, an OTI's license is subject to revocation for willfully failing to comply with a provision of the Shipping Act or any other statute, a Commission order or regulation, or based on a determination by the Commission that the OTI is not qualified to provide intermediary services. 46 U.S.C § 40903(a). In addition, under section 515.16(a) of the Commission's Rules, an OTI's license is subject to revocation for, in pertinent part, a violation of any provision of the Shipping Act or any statute, a Commission order or regulation related to carrying on the business of an ocean transportation intermediary; failure to respond to any lawful order or inquiry by the Commission; making a materially false or misleading statement to the Commission in connection with an application for a license or amendment to an existing license; or, based on a Commission determination that the licensee is

not qualified to render intermediary services. 46 C.F.R § 515.16(a).

1. Robert Waalkes' Employment

The parties devoted a major part of their arguments to the testimony by affidavit of Robert Waalkes, who B & G listed as its QI and secretary in its application for a license, as well as the issue of whether the evidence demonstrates that Robert Waalkes was B & G's employee. Mr. Waalkes states in his affidavit dated November 22, 2022:

1. My name is Robert Waalkes. I served as Secretary of B&G Futures, Inc. ("B&G") from December 1, 2016 to October 25, 2020.
2. During a portion of that period, I was identified as the Qualifying Individual ("QI") for purposes of B&G's ocean transportation intermediary license with the Federal Maritime Commission.
3. In November of 2021, I mistakenly informed representatives of the Federal Maritime Commission that I had never heard of B&G.
4. I have a medical condition, which, when untreated (as it was in November of 2021), can impair my ability to recall past events accurately. When my condition is being properly treated (as it is at present), I have no such impairment.

B & G Response, Ex. F.

As an initial matter, Mr. Waalkes' affidavit is unsworn and fails to "declare (or certify, verify, or state) under penalty of perjury that the foregoing is true and correct," as required. See 46 C.F.R. § 502.6 (Verification of documents). Although the statement is unsworn, it will still be admitted into evidence and considered, as Respondent is acting *pro se*.

According to BCL, when contacted on November 17, 2021, to confirm that he was B & G's QI and secretary, Mr. Waalkes stated that he had not been employed by, nor was he familiar with B & G. While Mr. Waalkes blames his failure to recall B & G on a medical condition that was untreated at that time, he does not explain why he wrote to BCL on August 26, 2022, stating in pertinent part:

I was contacted in November of 2021 and asked if I had any recollection of working with B&G Futures. At the time I stated that I did not. I sincerely apologize for the confusion, but I did indeed execute an agreement in 2017 with B&G Futures as a consultant. . . .

I was introduced to B&G Futures by a close friend and business associate. . . . At that time I was CEO of US Pack, Inc [of] Leominster MA and our organization was primarily in the chemical manufacturing and export business. It was believed that my export experience would be a benefit to his new venture. However, I did not do any work with B&G after this agreement was executed and I ended up moving into another industry.

BEIC Reply Attachment 1 at BEIC67-68; Hull V.S. ¶ 15, FF 25. The above email contradicts Mr. Waalkes' statement in his affidavit regarding serving as a secretary of B & G until 2020. The email is more detailed and more credible than the subsequent affidavit submitted as part of this proceeding. Mr. Waalkes' affidavit is unreliable and is contradicted by statements of Mr. Waalkes, himself.

The evidence submitted by B & G purporting to show that Mr. Waalkes was elected as B & G's secretary by special meeting on December 1, 2016 (B & G Response Ex. C), does not establish that Mr. Waalkes was B & G's employee on July 26, 2017, when it applied for an OTI license. B & G asserts in its response:

Mr. Waalkes was employed on a commission basis; whereby, should Mr. Waalkes bring revenue generating business opportunity, then Mr. Waalkes would be financially compensated on a deal-by-deal basis. During that employment, Robert Waalkes did not generate any business and as such did not receive monetary compensation.

B & G Response at 1. Any claim that Mr. Waalkes was B & G's employee based on the special meeting reflected in this evidence, electing him as secretary on December 1, 2016, is contradicted by B & G's OTI License Application form, which indicates that Mr. Waalkes was self-employed at U.S. Pack Inc. from September 2006 to July 2017, as well as Mr. Waalkes' statement that he entered into a consultancy agreement with B & G in 2017 but never worked for B & G.

Additionally, the claim that Mr. Waalkes served as secretary for B & G from the period of December 1, 2016, to October 25, 2020, is contradicted by B & G's Application to Replace its QI (B & G, Ex. A; BEIC Ex. 2 at BEIC33), which indicates that B & G's proposed QI, Lorie Obrzut, was its secretary from July 2020 to the present. If B & G's evidence is believed, both Lorie Obrzut and Mr. Waalkes served as B & G's secretary for the period of July 2020 to October 25, 2020. Accordingly, evidence submitted by B & G to demonstrate that Robert Waalkes was B & G's employee is found to be unreliable, self-contradictory, and contradicted by the record.

2. B & G Willfully Failed to Comply with Commission Regulations and Inquiries from BCL

Section 515.11(b) of the Commission's regulations requires the qualifying individual for a corporation applying for an OTI license to be "at least one of the *active* corporate officers" of the corporation. 46 C.F.R. § 515.11(b)(3) (emphasis added). B & G's statement that Robert Waalkes did not receive financial compensation at any time from it (B & G Response at 1), and Mr. Waalkes' statement that he did not do any work for B & G after entering into a consultancy agreement with them (FF 25), demonstrate that Mr. Waalkes was not an active B & G corporate officer. By listing Mr. Waalkes, who was not an active officer as its QI, B & G failed to comply with the requirements of section 515.11(b)(3).

Further, in Mr. Waalkes' affidavit, he states that he was the QI for B & G only "during a portion of that period," that he claims to have served as B & G's secretary. Waalkes Aff. ¶¶ 1-2. A change in the identity or status of the designated QI requires prior approval of the Commission, through a Form FMC-18, see 46 C.F.R. § 515.20(a)(5), and, "[w]hen a partnership, LLC, or corporation has been licensed on the basis of the qualifications of one or more of the partners, members, managers or officers thereof, and the QI no longer serves as a full-time employee with the OTI or is no longer responsible for the licensee's OTI activities, the licensee shall report such change to the Commission within thirty (30) days." 46 C.F.R. § 515.20(c). "Other changes of material fact of a licensee shall be reported within thirty (30) days of such changes, in writing by mail or email" to the Director of BCL. 46 C.F.R. § 515.20(e). On January 2, 2020, Mr. DiPietro submitted a Form FMC-18 to renew B & G's license. FF 9; Hull V.S. ¶ 6. B & G's OTI License Renewal Form repeated, without any changes, all information previously submitted by B & G in its application for an OTI license, including the statement that Mr. Waalkes was B & G's QI and secretary. BEIC4; Hull V.S. ¶ 6. FF 10. Accepting for the purpose of this discussion Mr. Waalkes' unreliable affidavit, at the very least, Mr. Waalkes was not B & G's QI for the entire period B & G represented in its license application that he was. By failing to notify the Commission of the change in status of Mr. Waalkes, its QI, B & G failed to comply with the requirements of the above regulations.

Additionally, the evidence demonstrates that B & G failed to comply with inquiries and instructions from the Commission. On October 8, 2021, BCL instructed B & G to confirm that Mr. Waalkes was a full-time employee and officer of B & G. FF 14. When B & G failed to respond, BCL again contacted B & G on October 12, 2021, asking it to provide "the start and end dates of Mr. Waalkes' employment with B & G Futures." FF 16. When B & G again failed to comply, BCL followed up with B & G staff on November 15, 2021, asking them to provide the requested information. FF 17-18. BEIC Ex. 4, at BEIC25-27. To date, B & G has never provided the requested information to BCL.

B & G's assertion that its failure to follow up with BCL directly "was an honest and sincere mistake as the assumption was DPI would handle all matters," BEIC Response at 1, is unpersuasive, given that the evidence shows that B & G had personally responded to inquiries from BCL on previous occasions. As an example, B & G personally responded to an inquiry from BCL on October 4, 2021, informing B & G that its bond issuer had notified BCL that the bond would be canceled, and inquiring whether B & G intended to cancel its bond. B & G provided proof on the same day to BCL, without relying on DPI to respond, that its bond was still effective. Indeed, Mr. DiPietro stated in his response to BCL: "[s]hould you have any additional questions; please [feel] free to contact me." BEIC Ex. 4, at BEIC27. Yet, when contacted on the issue of Mr. Waalkes' employment dates, B & G repeatedly ignored BCL's inquiries, suggesting that it did not provide the requested information because it did not have the information, not because it was relying on DPI to do so. Accordingly, the evidence shows that B & G willfully failed to comply with inquiries from the Commission.

3. B & G and its President, Mr. Steve DiPietro, Made Materially False or Misleading Statements to the Commission in Connection with its Application for an OTI License and Application to Renew its License

According to Mr. Waalkes, he “did not do any work with B&G after his agreement [in 2017 with B & G as a consultant] was executed and [he] ended up moving into another industry.” BEIC Reply Attachment 1 at BEIC67-68; Hull V.S. ¶ 15, FF 25. In addition, based on B & G’s own evidence, Mr. Waalkes was not an active officer receiving monetary compensation, because Mr. Waalkes never “generate[d] any business and as such did not receive monetary compensation.” B & G Response at 1. Also, the record does not show that Mr. Waalkes received any other form of compensation from B & G that would suggest that he was doing any work for B & G.

B & G submitted a document titled “Waiver of Notice of Special Meeting of the Board of Directors of B & G Futures, Inc.,” dated December 1, 2016, and another document titled “Action by Written Consent of Special Meeting of the Board of Directors of B & G Futures Inc.,” dated December 1, 2016, purporting to show that by special meeting on December 1, 2016, B & G’s board of directors elected Mr. Waalkes as B & G’s secretary. While these documents may show that Mr. Waalkes was elected to and accepted the position of secretary for B & G on December 1, 2016, they are not evidence that Mr. Waalkes was secretary for B & G, or employed by B & G, at the time it applied for an OTI license on July 26, 2017, or when it applied to renew its license on January 2, 2020. Additionally, the documents do not establish that Mr. Waalkes did not subsequently fall into an inactive status, of which B & G was required to notify the Commission. In Mr. Waalkes’ affidavit, he states that he was QI for B & G only “during a portion of that period,” he claims to have served as B & G’s secretary. Waalkes Aff. ¶¶ 1-2. Even accepting Mr. Waalkes’ unreliable affidavit as true, the most that could be said is that the evidence demonstrates that Mr. Waalkes was not B & G’s QI for the entire period B & G represented that he was. Mr. DiPietro submitted all of B & G’s license applications, and certified that all information provided in B & G’s applications was true, correct, and complete to the best of his knowledge and belief. Accordingly, the evidence demonstrates that B & G and Mr. DiPietro made materially false or misleading statements to the Commission in connection with an application for a license and amendment of an existing one.

4. B & G is not Qualified to Render Intermediary Services

A license may be revoked based on a determination by the Commission that the OTI is not qualified to provide intermediary services. 46 U.S.C § 40903(a). *See also* 46 C.F.R § 515.16(a). The Commission issues a license “if it determines as a result of its investigation, that the applicant possesses the necessary experience and *character* to render ocean transportation intermediary services.” 46 C.F.R. § 515.14(a)(1) (emphasis added). It stands to reason, therefore, that a determination that an OTI lacks character would render the OTI unqualified to render OTI services. Here, BCL concluded that “[a]fter numerous correspondence, lack of requested information from B & G Futures, and analyzed BCL records on file, evidence indicated that [B & G] had a character issue of misrepresentation.” Hennigan V.S. ¶ 6. The evidence demonstrates that B & G provided false information to the Commission in its OTI license applications, supporting BCL’s conclusion that B & G “had a character issue of

misrepresentation.” Because the evidence shows a lack of character by B & G, it further corroborates BCL’s determination that B & G is not qualified to render intermediary services.

B. Conclusion

Based on the foregoing, the evidence supports a finding that B & G failed to comply with the Commission’s regulations and BCL’s inquiries; that B & G and its president, Mr. DiPietro, made materially false or misleading statements to the Commission in connection with its application for an OTI license and application to renew B & G’s license; and that B & G lacks the necessary character to render intermediary services. Accordingly, B & G’s OTI license is revoked pursuant to 46 U.S.C § 40903(a) of the Shipping Act and 46 C.F.R § 515.16(a) of the Commission’s regulations. Because B & G’s OTI license is revoked, B & G’s application to replace its QI is denied.

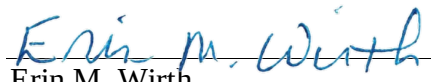
IV. ORDER

Upon consideration of the evidence and arguments in the evidence of record, and for the reasons stated above, it is hereby

ORDERED that B & G’s ocean transportation license be **REVOKED**. It is

FURTHER ORDERED that B & G’s application to replace its qualifying individual be **DENIED**. It is

FURTHER ORDERED that B & G cease and desist any and all ocean transportation intermediary activities.


Erin M. Wirth
Chief Administrative Law Judge